

PAINTINGS

Perspective

Both collectors and investors in art would benefit from being able to recognize the way a market behaves at a top or bottom. *The Elliott Wave Theorist* noted the signs of a major top in art in May 1990:

In all of history, only six paintings have sold for over \$40 million. One of those transactions was Australian entrepreneur Alan Bond's famous purchase of Vincent Van Gogh's "Irises" on November 11, 1987. A second painting, slightly less expensive, was sold in May 1989. This month, two sales took place on May 15 and 17 and broke all previous records, averaging over \$80 million apiece! It is of interest also that the latest two purchases were made by a Japanese industrialist. Art price euphoria, then, is not limited to Westerners. The purchase, like that by Alan Bond, may prove to be a reflection of an extended and vulnerable social mood of the nation within which its owner resides.

Art prices began falling almost immediately, and in late 1990, they collapsed. One short year after *The Elliott Wave Theorist's* assessment of "art price euphoria" was published, headlines rang out, "Art Market Chalks Up Another Beating" and "More Art Blues." A Christie's auction failed to sell one-third of 57 impressionist paintings, including one that was expected to bring in \$5 million. Most others sold for less than anticipated. In describing the auction, one article commented, "Prices for paintings and sculptures by some of the world's best-known artists continue to tumble. Across the board, seemingly well-established price levels fell like dominoes." A year after the peak, *The Elliott Wave Theorist* made another observation:

The funeral for a bubble often includes a literary expose of how sleazy the whole operation "really" is/was. It happened to junk bond brokers. Now it's happening to the art market in a new book, *The Art Biz*, which indicts the whole industry for sleaze and manipulation.

Analysis

Though there were no charts of art prices readily available for this book, my guess is that a chart would resemble that of coins in